



KENYATTA UNIVERSITY

CONTINUING EDUCATION PROGRAMME (CEP) 2022/2023

EXAMINATION FOR THE DEGREE OF BACHELOR OF COMMERCE

BAC 200/270: ACCOUNTING FOR ASSETS

APRIL, 2023 SESSION

TIME: 2 HOURS

BY RAVINE OCHIENG, DELEGATE

INSTRUCTIONS: Answer all questions.

QUESTION ONE.

- a) Assume that a layman requested you to explain the characteristics of bonds continue and do so. (5 marks)
 - b) Kati ltd invested in a Kshs 10,000,000 non interested bearing bonds with a discount factor of 12% prepare the journal interest for record these transactions. (3 marks)
 - c) Explain the various types of inventory. (3 marks)
 - d) Explain the conditions that must be satisfied for accounts receivable to be treated as a sale. (3 marks)
 - e) Explain the assumptions of accounting. (3 marks)
 - f) Explain the factors that cause fixed assets to depreciate. (3 marks)
- (20 MARKS)

QUESTION TWO.

Assume that KG company ltd invested in a shs 30,000,000, 8%, term bond in **January 2020**. The investment is being received annually each December 31st and the maturity of the investment being **December 31st 2023**. The market risk of a bond of similar risk is 6%

REQUIRED

Prepare journal entries to record the investment in bond

(3 marks)

RAVINE OCHIENG/ 0742600411

Bonds amortizations schedule using effective interest method
Journal entries to record interest received at the end of year 3.

(15 marks)
(2 marks)
(20 MARKS)

QUESTION THREE.

Assume that ziti ltd operates a fleet of motor vehicles on January 1st 2020 the company bought a motor vehicle KBK 204 Z worth Kshs 8,000,000 and on July 1st 2022 bought another KBM 100 C worth Ksh 6,000,000. The company bought another vehicle KBL 010 T on 1st September 2023 worth kshs 4,400,000 and on the same date sold KBK 204 Z at a price of Kshs 5,200,000 it's the policy of the company to use straight line method of depreciation and takes into account the fraction of the year.

REQUIRED

- a) Motor vehicle account. (8 marks)
- b) Provision for depreciation accounts (12 marks)

(20 MARKS)

BY RAVIVE-O. OCHENG; DELEGATE; 0742600411

QUESTION FOUR

Assume that Zato ltd has opening inventory of 40,000 units and that the stock was valued at Shs 8,000, during the year 2022.

The following transactions took place during the year 2022.

Date	Purchases Units	Value Shs	Total shs
Jan 1 (2)	8000	6.50	52,000
March 10 (5)	9000	8	72,000
April 7 (6)	10,000	9	90,000
October 17 (9)	12,000	8.50	102,000
November 12 (10)	5000	6	30,000

SALES

Units



KENYATTA UNIVERSITY
EXAMINATION FOR THE DEGREE OF BACHELOR OF COMMERCE

BAC 270: ACCOUNTING FOR ASSETS

1ST SEMESTER 2021/2022

TIME: 2 HOURS

INSTRUCTIONS:

Answer all the questions in the answer booklet provided

QUESTION ONE

- a) Explain the meaning of the following terms:
- (i) Liquid assets. (2 marks)
 - (ii) Intangible assets. (2 marks)
- b) List any five factors that may cause a difference between the cash book balance and the bank statement balance (2 marks)
- c) The following information is available after the Cash Book of Walawi traders was compared with there Bank Statement at 31 March 2020.
1. The Cash Book showed an overdraft of sh.101,000.
 2. The Bank Statement showed a ^{over}debit balance of sh.105,680.
 3. The deposit of sh.7 6540 does not appear on the Bank Statement.
 4. Cheques not yet presented for payment: *Unpresented cheques*
 - a) Cheque number 511 sh.8050
 - b) Cheque number 516 sh.6900
 5. The bank recorded the following in the current bank account of Walawi traders:
 - a) Credit card levy sh.1500
 - b) Service fee sh.2430
 - c) Interest on overdraft 516 sh.6930
 6. A cheque for sh.2600 received from Salima was dishonored by the bank. Discount allowed on the cheque was sh.300.

- Dishonoured cheque.

7. A payment by a debtor, Dathan, for sh.30,000 appears in the Bank Statement in the Cash Book. *- Wrong pay deposit*
8. The Bank Statement showed a debit order for sh.6930 in favour of DeMathew insurance premium. *debit order*
9. Tarome, a tenant, deposited his monthly rent directly into the bank account, sh. 2000. *4200 direct*

Required:

- i. Updated Cash Book of Walawi traders on 31 March 2020. (3 marks)
 - ii. Bank Reconciliation Statement on 31 March 2020. (4 marks)
- (Total 16 marks)

QUESTION TWO

- (a) (i) Define the term "depreciation" (2 marks)
- (ii) Explain any two factors considered in allocation of depreciation (2 marks)
- (b) Jamii Bpra Ltd. Maintains its property, plant and equipment at cost. The company also maintains a provision for depreciation account for each asset

As at 31 December 2019, the asset balances were as follows:

Asset	Cost	Accumulated depreciation
	Sh. "000"	Sh. "000"
Machinery	210 360	102 680
Office furniture	14 300	7 450

BY RAVIVE OETHENG'

Additional information:

1. Transactions for the year ended 31 December ~~2019~~ ²⁰²⁰ were as follows:

Acquisitions:

Asset	Cost (Sh. '000')
Machinery	9 920
Office furniture	1 600

Disposals:

Machinery costing sh. 1 200 000 bought in year 2018 was sold for Sh. 3 200 000

2. Depreciation is provided on a straight line basis as follows:

Asset	Rate per annum
Machinery	20%
Office furniture	10 %

The company's policy is to provide a full year's depreciation in the year of acquisition and no depreciation charge in the year of disposal.

Required:

- (i) Machinery account (3 marks)
- (ii) Provision for depreciation on machinery account (3 marks)
- (iii) Furniture account (3 marks)
- (iv) Provision for depreciation on furniture account (3 marks)
- (v) Machinery and furniture disposal accounts (4 marks)

(Total: 20 marks)

QUESTION THREE

(a) Briefly explain the following ✓

- (i) Matching concept ✓ (1 mark)
- (ii) Going concern ✓ (1 mark)
- (iii) Prudence concept ✓ (1 mark)
- (iv) Realization concept ✓ (1 mark)
- (v) Money measurement concept ✓ (1 mark)

(Total: 5 marks)

QUESTION FOUR

i) Distinguish between physical flow and cost flow concept of inventory flow. (4 marks)

ii) A trader commenced business on 1 January 2009, with a capital of \$550. He decided to specialize in a single product line and by the end of June 2009, his purchases and sales of this product were as follows.

	Purchases		Sales	
	Units	units price	units'	units' price
January	30	5.00	20	7.00
February	-	-	5	7.20
April	40	6.00	25	8.00
May	25	6.50	30	8.50
June	20	7.00	20	9.00
	<u>115</u>		<u>100</u>	

BY RAVINE OCHIENG, DELEGATE

SIR OTONDE MICHAEL -DELEGATE

Required:

- a) Ascertain the retailer gross profit for the period assuming that:
 - i) Stock is valued using FIFO (4 marks)
 - ii) Stock is valued using LIFO (5 marks)
 - b) Assuming that all purchases and sales are made for cash and that there are no other transactions for the period, draw up statements of financial position extract as at July 2005, showing:
 - i) Stock valued on a FIFO basis. (3 marks)
 - ii) Stock valued on a LIFO basis. (3 marks)
- (Total: 19 marks)

BEST WISHES !!!

BY RAVINE OCHINGA ; DELEGATE
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